

At first Katharine Graham was unnerved. The idea of a nonfamily member owning so much *Post* stock, even though it was noncontrolling, was unsettling. Buffett assured Mrs. Graham that Berkshire's purchase was for investment purposes only. To reassure her, he suggested that Don Graham, Katharine's son, be given a proxy to vote Berkshire's shares. That clinched it. Katharine Graham responded by inviting Buffett to join the board of directors in 1974, and soon made him chairman of the finance committee.

Buffett's role at the *Washington Post* is widely known. He helped Katharine Graham persevere during the pressman strikes of the 1970s, and he also tutored Don Graham in business, helping him understand the role of management and its responsibility to its owners. Don, in turn, was an eager student who listened to everything Buffett said. Writing years later, Don Graham promised to "continue to manage the company for the benefit of shareholders, especially long-term shareholders whose perspective extends well beyond quarterly or even yearly results. We will not measure our success by the size of our revenues or the number of companies we control." Graham vowed always to "manage costs rigorously" and "to be disciplined about the uses we make of our cash."²

Tenet: Simple and Understandable

Buffett's grandfather once owned and edited the *Cuming County Democrat*, a weekly newspaper in West Point, Nebraska. His grandmother helped out at the paper and also set the type at the family's printing shop. His father, while attending the University of Nebraska, edited the *Daily Nebraskan*. Buffett himself was once the circulation manager for the *Lincoln Journal*. It has often been said that if Buffett had not embarked on a business investing career, he most surely would have pursued journalism.

In 1969, Buffett bought his first major newspaper, the *Omaha Sun*, along with a group of weekly papers. Although he respected high-quality journalism, Buffett thought of newspapers first and always as businesses. He expected profits, not influence, to be the rewards for a paper's owners. Owning the *Omaha Sun* taught him the business dynamics of a newspaper. He had four years of hands-on experience owning a newspaper before he bought his first share of the Washington Post Company.